

MA653P - Computational Financial Modelling Lab

Assignment 3

Note: Use any library available in python.

1. Gradient-Based Optimization with Multiple Restarts

- (a) Implement a gradient-based method with multiple random restarts with 30 independent runs for each function.
- (b) Test on:
- i. Rastrigin

$$\min_{\mathbf{x} \in [-5.12, 5.12]^n} f(\mathbf{x}) = 10n + \sum_{i=1}^n (x_i^2 - 10 \cos(2\pi x_i))$$

Use $n = 2$.

- ii. Rosenbrock

$$\min_{\mathbf{x} \in [-3, 3]^n} f(\mathbf{x}) = \sum_{i=1}^{n-1} [100(x_{i+1} - x_i^2)^2 + (1 - x_i)^2]$$

Use $n = 2$.

- (c) Report:

Function	Best	Worst	Average	Std. Dev.
Rastrigin				
Rosenbrock				
Himmelblau				

2. Binary Genetic Algorithm

- (a) Implement Binary GA for the same functions.
- (b) Perform 30 runs and report:

Function	Best	Worst	Average	Std. Dev.
Rastrigin				
Rosenbrock				
Himmelblau				

3. Parameter Sensitivity (Binary GA)

- (a) Mutation probabilities: 0.01, 0.02, 0.05
- (b) Crossover probabilities: 0.7, 0.8, 0.9
- (c) Perform experiments (30 runs each) and plot error vs parameters.
- (d) Fill average error table:

Mutation	Crossover Probability		
	0.7	0.8	0.9
0.01			
0.02			
0.05			

4. Real-Coded Genetic Algorithm Consider the problem

Optimization Problem

- (a) Solve:

$$f(x_1, x_2) = (x_1^2 + x_2 - 11)^2 + (x_1 + x_2^2 - 7)^2$$

$$-6 \leq x_1 \leq 6, \quad -6 \leq x_2 \leq 6$$

- i. Based on your experience in above experiment use the best combination of the crossover and mutation probability for real coded GA using:
 - A. Simulated Binary Crossover (SBX)
 - B. Polynomial Mutation (PM)
 - ii. Compare with Binary GA.
- (b) Use:

- i. Binary GA
 - ii. Real-Coded GA
- (c) Perform 30 runs and report:

Method	Best	Worst	Average	Std. Dev.
Binary GA				
Real GA				

5. **Constrained Genetic Algorithm** Consider the problem Minimize:

$$f(\mathbf{x}) = (x_1^2 + x_2 - 11)^2 + (x_1 + x_2^2 - 7)^2$$

Subject to:

$$g_1(\mathbf{x}) = 4.84 - (x_1 - 0.05)^2 - (x_2 - 2.5)^2 \geq 0$$

$$g_2(\mathbf{x}) = x_1^2 + (x_2 - 2.5)^2 - 4.84 \geq 0$$

Bounds:

$$0 \leq x_1 \leq 6, \quad 0 \leq x_2 \leq 6$$

Use the parameter free penalty method for both real and binary coded GA. Perform 30 runs and report:

Method	Best	Worst	Average	Std. Dev.
Binary GA				
Real GA				

6. **Submission**

- (a) Report (plots, tables, and short discussion on your observation.)